



DEALER BEST PRACTICE SERIES

Accrual Accounting for
Maintenance & Repair
Contracts

Application Maintenance Site Management Component Rebuild Component Life Management Safety MARC Management

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1.0 Introduction

There are two acceptable accounting options to record transactions for maintenance and repair contracts. The first option is accrual accounting (deferred accounts), which is considered the best practice for recognizing and recording transactions related to maintenance and repair contracts. This method allows the measurement of not only the current cash in flows / outflows but also allows the inclusion of future expected cash inflows / outflows. The main focus of accrual accounting is the proper matching of revenues to expenses. The second option called cash accounting only provides a snapshot of past financial activity up to today. This method does not match revenues to costs. The accrual accounting method is usually the required accounting process for companies over a certain size in most countries. There are exceptions to this rule. Some geographic locations still adhere to the cash basis of accounting for legal entity reporting. This best practice is not intended to replace the accounting process used by an entity but to give a better understanding why accrual accounting will give a more accurate picture of contract performance.

2.0 Best Practice Description

This best practice is intended as guidance to help contract managers to understand the key concepts of accrual accounting vs. cash basis accounting and the benefits of accrual accounting to effectively measure contract profitability.

3.0 Implementation Steps

Understanding Cash vs. Accrual Accounting Practices.

Cash Basis Accounting:

Revenues are recognized & recorded when cash is actually received.
Expenses are recognized & recorded when they actually are paid.

Accrual Basis Accounting:

Revenues are recognized and recorded when it is earned.
Expenses are recognized and recorded when they are incurred.

Accounting for Separately Priced Extended Warranty and Product Support Maintenance Contracts. FASB Technical Bulletin #90-1.

Revenues: Revenues from product support maintenance contracts should be deferred and recognized as income on a straight-line basis over the contract period except in those circumstances in which sufficient historical evidence indicates that the costs of performing services under contract are incurred on other than a straight-line basis. In those circumstances, revenue should be recognized over the contract period in proportion to the expected costs to be incurred in performing services under the contract.

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Immediate Revenue Recognition: Product maintenance contracts are not incidental to the sale of a product but are independent transactions under which the customer agrees to purchase at a determined rate and the provider of services agrees to perform certain services at that rate. The customer decision to purchase Caterpillar equipment cannot entail any obligation to purchase the maintenance & repair contract, nor oblige the dealer to provide any additional services. The dealer may lower product prices in expectation of selling maintenance contracts. However it is the dealers pricing or marketing strategy, that determines the appropriate financial reporting of transactions. Because the obligation extends over a period of time, immediate revenue recognition is inappropriate.

Costs: Costs that are directly related to the acquisition of a contract and that would not have been incurred but for the acquisition of that contract should be deferred and charged to expense in proportion to the revenue recognized. All other costs, such as costs of services performed under the contract, general and administrative expenses should be charged to expense as incurred.

Loss: A loss should be recognized on product maintenance agreements if the sum of the expected costs of providing services under the contracts exceeds related unearned revenue. Product maintenance contracts should be grouped in a consistent manner to determine if a loss exists. If a loss exists then a liability should be recognized for the loss.

Revenue Recognition Options: When applying FTB 90-1, the contract manager should always evaluate the expected pattern of maintenance related costs and should not default to recognizing revenue on a straight line basis because of lack of “sufficient historical evidence” regarding such costs. Although the evaluation of the expected pattern of maintenance-related costs should focus on future related cash outflows, historical evidence about past costs, if available, should be used to assist in that evaluation. If the contract manager does not have sufficient historical evidence on which to base an estimate of future maintenance costs, such information should be available from other sources. In those circumstances, revenues should be recognized over the contract in proportion to the expected costs to be incurred in performing services under the contract.

Revenue Recognition Criteria: Revenues must be recognized under accrual accounting when the following four criteria are met.

Persuasive evidence of an arrangement exists.
 Delivery has occurred or services have been rendered.
 The seller's price to the buyer is fixed or determinable.
 Collection is reasonably assured.

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Requirements for Effective Accrual Processes:

Managers must understand the operational processes.
 Create standard jobs.
 Then develop life cycle schedule from standard jobs.
 Create a budget.
 Practice proactive event scheduling.
 Condition monitoring.
 Understand the sold solution.
 Accountability – roles and responsibility.
 Understand variance analysis.

4.0 Benefits

Benefits of Matching Revenues to Costs:

Provide accurate feedback to management on contract performance.
 Have the ability to timely identify non-profitable contracts so corrective action can take place.
 Provide accurate pricing for future contract negotiations.
 Let the accurate and true numbers drive operational decisions
 Focus efficiency improvements where they belong.
 Focus training on where it belongs.
 Focus investments where they belong.

5.0 Resources Required

Define local and national governmental accounting requirements.

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6.0 Supporting Attachments / References

Below are three examples of contribution statements.

Building a Marginal Contribution Statement - Revenue Only – Budget – SOLD SOLUTION

1 Customer Invoiced Amount	Actual billings to customer in period. Hours * Rate	\$ 220.00
2 Deferred Revenue	Under consumption or Over consumption of Lines 3-4-5-6	\$ 0
3 Total Parts & Components	Total sales price of all components consumed in the period	\$ (100.00)
4 Total Labor	Total sales price of all labor consumed in the period	\$ (100.00)
5 Miscellaneous	Total sales price of miscellaneous costs consumed in work orders in the period	\$ (10.00)
6 Management Overhead Fees	Total sales price of all M&O fees associated to the contract in the period	\$ (10.00)
7 Contract Support	Caterpillar product in kind or support received from customer	\$ 0
8 Deferred Revenue Reconciliation	Accumulated of Line 2 at end of contract	\$ 0
9 Total Sales	Total of Line 3-4-5-6-7-8	\$ (220.00)

1 = 9 at budget

Building a Marginal Contribution Statement - Revenue Only – Under consumption – EXCESS REVENUES

1 Customer Invoiced Amount	Actual billings to customer in period. Hours * Rate	\$ 220.00
2 Deferred Revenue	Under consumption or Over consumption of Lines 3-4-5-6	\$ 50.00
3 Total Parts & Components	Total sales price of all components consumed in the period	\$ (100.00)
4 Total Labor	Total sales price of all labor consumed in the period	\$ (50.00)
5 Miscellaneous	Total sales price of all miscellaneous costs consumed in work orders in the period	\$ (10.00)
6 Management Overhead Fees	Total sales price of all M&O fees associated to the contract in the period	\$ (10.00)
7 Contract Support	Caterpillar product in kind or support received from customer	\$ -
8 Deferred Revenue Reconciliation	Accumulated of Line 2 at end of contract	\$ (50.00)
9 Total Sales	Total of Line 3-4-5-6-7-8	\$ (220.00)

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Building a Marginal Contribution Statement - Revenue Only – Over consumption – EXCESS COSTS

1	Customer Invoiced Amount	Actual billings to customer in period. Hours * Rate	\$ 220.00
2	Deferred Revenue	Under consumption or Over consumption of Lines 3-4-5-6	\$ (50.00)
3	Total Parts & Components	Total sales price of all components consumed in the period	\$ (200.00)
4	Total Labor	Total sales price of all labor consumed in the period	\$ (50.00)
5	Miscellaneous	Total sales price of all miscellaneous costs consumed in work orders in the period	\$ (10.00)
6	Management Overhead Fees	Total sales price of all M&O fees associated to the contract in the period	\$ (10.00)
7	Contract Support	Caterpillar product in kind or support received from customer	\$ -
8	Deferred Revenue Reconciliation	Accumulated of Line 2 at end of contract	\$ 50.00
9	Total Sales	Total of Line 3-4-5-6-7-8	\$ (220.00)

7.0 Related Best Practices

8.0 Acknowledgements

The Financial Accounting Standards Board (FASB) is a private, not-for-profit organization whose primary purpose is to develop generally accepted accounting principles (GAAP) within the United States in the public's interest. The Security and Exchange Commission (SEC) designated the FASB as the organization responsible for setting accounting standards for public companies in the U.S. It was created in 1973. The FASB mission is "to establish and improve standards of financial accounting and reporting for the guidance and education of the public, including issuers, auditors and user's.

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